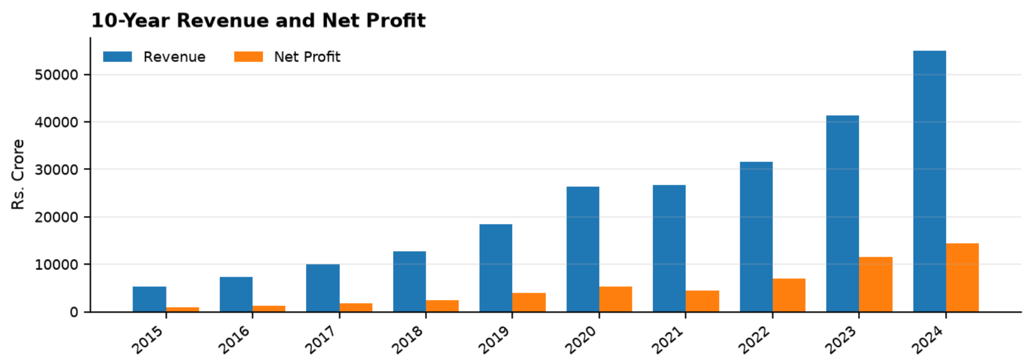
Bajaj Finance Ltd

Financials | Consumer Finance | Latest FY: 2024

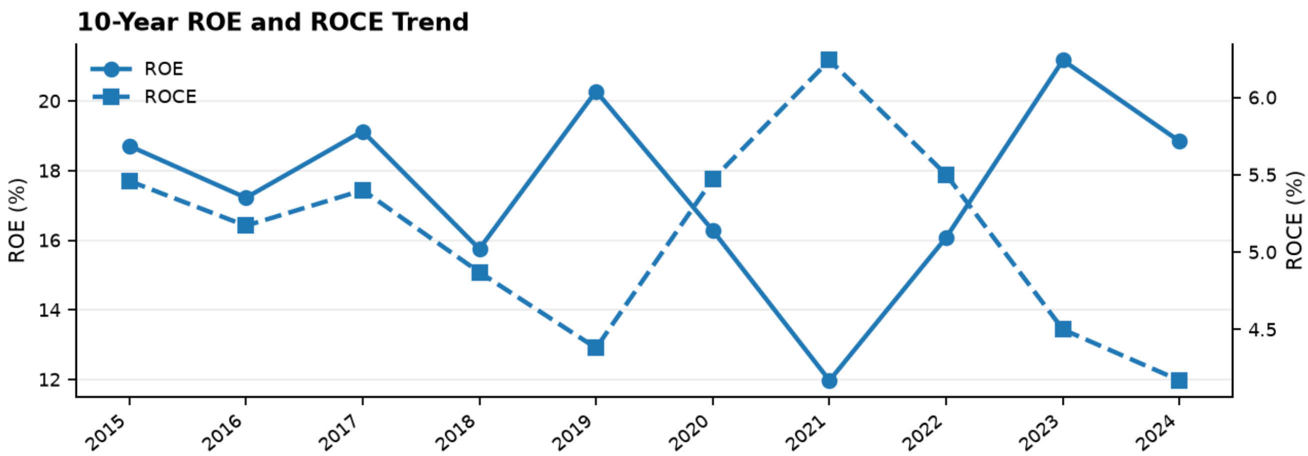
Return on Equity	ROCE	Net Profit Margin
18.8%	4.2%	26.3%

Debt to Equity	Revenue CAGR (5Y)	Free Cash Flow
3.82x	24.4%	-Rs. 79,931 Cr

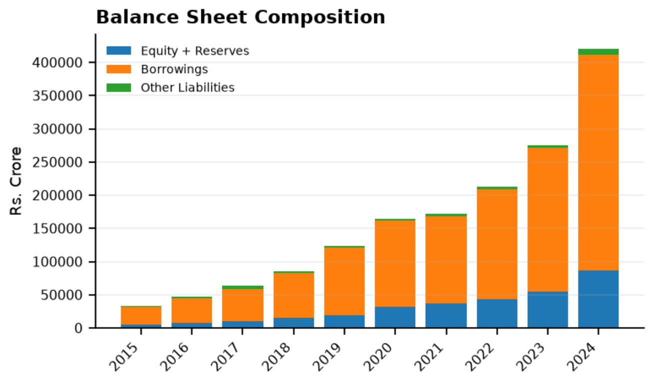
Growth and Earnings

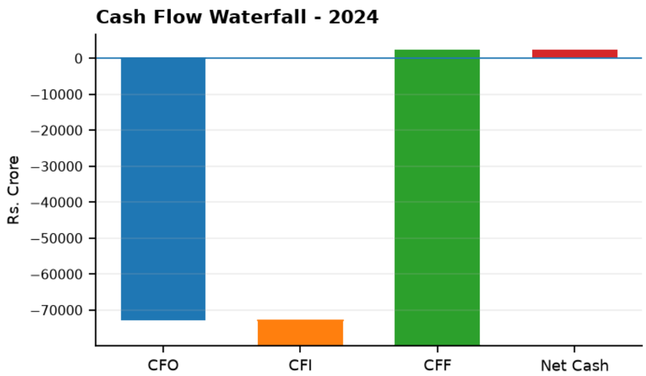


Capital Efficiency Trend



Balance Sheet and Cash Flow





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION

Growth Funded by Debt